

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE 06 MONTHS PERIOD ENDED SEPTEMBER 30, 2023

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 SEPTEMBER 2023

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	3,124,403	2,517,923	3,124,403	2,517,923
Cost of sales	(2,332,921)	(1,599,357)	(2,332,921)	(1,599,357)
Gross profit	791,482	918,566	791,482	918,566
Other income	22,905	14,522	22,905	14,522
Distribution expenses	(148,063)	(130,698)	(148,063)	(130,698)
Administrative expenses	(116,491)	(114,574)	(116,491)	(114,574)
Profit from operations	549,833	687,816	549,833	687,816
Finance income	283,002	99,879	283,002	99,879
Finance expenses	(4,613)	(11,604)	(4,613)	(11,604)
Net finance income	278,389	88,275	278,389	88,275
Share of (loss)/profit on equity accounted investee, net of tax	(1,504)	(626)	-	-
Profit before tax	826,719	775,466	828,222	776,091
Income tax expense	(211,925)	(139,696)	(211,925)	(139,696)
Profit for the quarter	614,794	635,769	616,298	636,395
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income , net of tax	-	-	-	-
Total comprehensive income for the quarter	614,794	635,769	616,298	636,395
Earnings per share -Rs.	28.20	29.16	28.27	29.19
Market value per share				
Highest price-Rs.			358.00	458.00
Lowest price-Rs.			257.00	160.00
Last traded price-Rs.			290.00	434.50
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the 06 months period ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	6,451,144	6,038,487	6,451,144	6,038,487
Cost of sales	(4,896,121)	(4,046,712)	(4,896,121)	(4,046,712)
Gross profit	1,555,023	1,991,775	1,555,023	1,991,775
Other income	39,088	19,128	39,088	19,128
Distribution expenses	(312,158)	(282,889)	(312,158)	(282,889)
Administrative expenses	(227,418)	(197,135)	(227,418)	(197,135)
Profit from operations	1,054,535	1,530,879	1,054,535	1,530,879
Finance income	266,703	536,121	266,703	536,121
Finance expenses	(49,423)	(19,071)	(49,423)	(19,071)
Net finance income	217,280	517,050	217,280	517,050
Share of loss on equity accounted investee, net of tax	(2,143)	(1,200)	-	-
Profit before tax	1,269,673	2,046,729	1,271,816	2,047,929
Income tax expense	(361,800)	(368,627)	(361,800)	(368,627)
Profit for the period	907,873	1,678,102	910,016	1,679,302
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	907,873	1,678,102	910,016	1,679,302
Earnings per share -Rs.	41.65	76.98	41.74	77.03
Market value per share				
Highest price-Rs.			358.00	458.00
Lowest price-Rs.			231.00	98.10
Last traded price-Rs.			290.00	434.50
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 September	As at 31 March	As at 30 September	As at 31 March
	2023 Rs.000	2023 Rs.000	2023 Rs.000	2023 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,133,319	1,158,261	1,133,319	1,158,261
Intangible assets	-	-	-	-
Investment property	722,000	722,000	722,000	722,000
Right-of-use assets	1,786	2,232	1,786	2,232
Investment in equity accounted investee	69,351	71,493	51,200	51,200
	1,926,456	1,953,987	1,908,305	1,933,694
CURRENT ASSETS				
Inventories	2,487,017	2,806,149	2,487,017	2,806,149
Trade and other receivables	1,296,749	1,059,523	1,296,749	1,059,523
Amount due from related companies	273,589	719,570	273,589	719,570
Investment valued at fair value through - profit or loss	50,312	-	50,312	-
Value added tax recoverable	769,147	782,114	769,147	782,114
Deposits and prepayments	24,679	22,657	24,679	22,657
Investment in fixed deposits	4,184,665	2,877,942	4,184,665	2,877,942
Cash and cash equivalents	1,059,738	1,350,437	1,059,738	1,350,437
	10,145,898	9,618,392	10,145,898	9,618,392
TOTAL ASSETS	12,072,353	11,572,379	12,054,202	11,552,086
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	567,803	567,803	497,932	497,932
General reserves	431,136	431,136	431,136	431,136
Retained earnings	8,883,926	8,117,753	8,935,646	8,167,330
	10,100,865	9,334,692	10,082,715	9,314,398
NON-CURRENT LIABILITIES				
Employee benefits	164,319	152,619	164,319	152,619
Deferred taxation	139,237	139,237	139,237	139,237
Interest bearing borrowings	42,039	83,994	42,039	83,994
	345,595	375,851	345,595	375,851
CURRENT LIABILITIES				
Trade and other payables	408,993	450,644	408,993	450,644
Amount due to related companies	217,018	314,558	217,018	314,558
Current tax payables	837,174	869,440	837,174	869,440
Unclaimed dividends	15,441	12,043	15,441	12,043
Interest bearing borrowings	119,826	155,651	119,826	155,651
Bank overdrafts	27,440	59,501	27,440	59,501
	1,625,893	1,861,837	1,625,893	1,861,837
TOTAL LIABILITIES	1,971,488	2,237,688	1,971,488	2,237,688
TOTAL EQUITY AND LIABILITIES	12,072,353	11,572,379	12,054,202	11,552,086
Net asset per share (Rs.)	463.34	428.20	462.51	427.27

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

Sgd.
Ms. Hemamala Karunasekara
Chief Financial Officer

Sgd.
Mahinda Saranapala
Managing Director

Sgd.
U. G. Madanayake
Chairman

November 6, 2023
Colombo

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 SEPTEMBER 2023

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	592,491	431,136	5,479,027	6,720,654
Profit for the period				1,678,102	1,678,102
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,678,102	1,678,102
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 30 September 2022	218,000	592,491	431,136	7,015,428	8,257,056
Balance as at 1 April 2023	218,000	567,803	431,136	8,117,753	9,334,692
Profit for the period	-	-	-	907,873	907,873
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	907,873	907,873
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 30 September 2023	218,000	567,803	431,136	8,883,926	10,100,865

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	522,620	431,136	5,524,965	6,696,721
Profit for the period				1,679,302	1,679,302
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,679,302	1,679,302
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 30 September 2022	218,000	522,620	431,136	7,062,566	8,234,323
Balance as at 1 April 2023	218,000	497,932	431,136	8,167,330	9,314,398
Profit for the period	-	-	-	910,016	910,016
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	910,016	910,016
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 30 September 2023	218,000	497,932	431,136	8,935,646	10,082,715

STATEMENT OF CASH FLOWS

For the 06 months period ended 30 September	COMPANY & INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Cash flow from operating activities				
Profit before tax	1,269,673	2,046,729	1,271,816	2,047,929
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	2,143	1,200	-	-
Interest income	(266,391)	(182,933)	(266,391)	(182,933)
Interest expense	9,936	19,071	9,936	19,071
Depreciation of property, plant and equipment	45,336	50,943	45,336	50,943
Loss/(gain) on investment valued at fair value through-profit or loss	(312)	-	(312)	-
Amortization of right-of-use assets	446	446	446	446
Provision for obsolete and slow moving inventories	23,348	16,124	23,348	16,124
Unrealized exchange loss/(gain) on investment in fixed deposits	(16,107)	-	(16,107)	-
Loss/(profit) on disposal of property, plant and equipment	(5)	(12,946)	(5)	(12,946)
Inventory write off	1,341	-	1,341	-
Disposal of property, Plant and Equipment	399	-	399	-
Provision for employee benefits	16,090	14,627	16,090	14,627
Operating profit before working capital changes	1,085,897	1,953,261	1,085,897	1,953,261
Changes in working capital				
Decrease/(increase) in inventories	294,443	(61,683)	294,443	(61,683)
Decrease/(increase) in trade and other receivables	(237,226)	580,501	(237,226)	580,501
Decrease/(increase) in amount due from related companies	445,981	(80,500)	445,981	(80,500)
Decrease/(increase) in deposits and prepayments and value added tax recoverable	10,945	(25,033)	10,945	(25,033)
Decrease in trade and other payables	(41,651)	(2,583,045)	(41,651)	(2,583,045)
Decrease in amount due to related parties	(97,540)	(283,184)	(97,540)	(283,184)
Cash generated from/(used in) operations	1,460,849	(499,683)	1,460,849	(499,683)
Gratuity paid	(4,390)	(3,467)	(4,390)	(3,467)
Current tax paid	(394,065)	(111,001)	(394,065)	(111,001)
Interest paid	(9,936)	(19,071)	(9,936)	(19,071)
Net cash generated from/(used in) operating activities	1,052,458	(633,222)	1,052,458	(633,222)
Cash flow from investing activities				
Short term loans given to related parties	-	(300,000)	-	(300,000)
Short term loans repaid by related parties	-	324,314	-	324,314
Proceeds from disposal of property, plant and equipment	18	12,946	18	12,946
Acquisition of property, plant and equipment	(20,806)	(42,594)	(20,806)	(42,594)
Investment in Unit Trust	(50,000)	-	(50,000)	-
Investment in fixed deposits	(1,290,617)	(733,536)	(1,290,617)	(733,536)
Interest received	266,391	182,933	266,391	182,933
Net cash generated from/(used in) investing activities	(1,095,013)	(555,936)	(1,095,013)	(555,936)
Cash flow from financing activities				
Dividend paid	(138,302)	(135,828)	(138,302)	(135,828)
Lease payments	(633)	(394)	(633)	(394)
Loans obtained during the period	-	-	-	-
Loans repayments during the period	(77,148)	(78,879)	(77,148)	(78,879)
Net Cash used in financing activities	(216,082)	(215,101)	(216,082)	(215,101)
Net increase/(decrease) in cash and cash equivalents	(258,638)	(1,404,260)	(258,638)	(1,404,260)
Cash and cash equivalents at beginning of the period	1,290,936	2,501,869	1,290,936	2,501,869
Cash and cash equivalents at the end of the period	1,032,298	1,097,609	1,032,298	1,097,609

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31st March 2023 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 30 September 2023 on guarantees given to third parties amounted to Rs.174,171,183/-.
- Net finance income/(expense) includes the exchange gains/(losses) as follows,

	COMPANY/COMPANY AND INVESTEE			
	Period ended 30th September		Quarter ended 30th September	
	2023	2022	2023	2022
	Rs.000	Rs.000	Rs.000	Rs.000
Exchange gain/(loss)	(39,487)	353,188	146,516	(4,011)

- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2023 amounting to Rs. 141.7 Mn. on July 28, 2023 which was paid on 29th August 2023.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 30 September 2023		As at 30 September 2022	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mr. Mahinda Saranapala	- Managing Director	-		-	
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

- Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 September 2023	4,399,696	20.2%	2637
Float adjusted market capitalization (Rs.)	1,275,911,840		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public
Option -5	Less than Rs.2.5Bn	20%	500

- 20 Largest Shareholders of the Company as at 30 September 2023 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 People's Leasing & Finance PLC/Mr. Iresh Sridas	120,859	0.55%
4 Thaha I. M.	103,500	0.47%
5 Bank of Ceylon-No2 A/C (BOC PTF)	94,418	0.43%
6 Employees Trust Fund Board	82,462	0.38%
7 Ceylinco Shiram Capital Management Services	76,600	0.35%
8 Wijaya P. and Ramesh P.	76,342	0.35%
9 Srikantha B. W. R	69,506	0.32%
10 People's Leasing & Finance PLC/K. L. Udayananda	62,845	0.29%
11 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
12 Madanayake H. A. S.	61,000	0.28%
13 Madanayake U. G.	56,200	0.26%
14 Vasudevan S. and Vasudevan S.	56,051	0.26%
15 DFCC Bank PLC A/C No. 02	45,000	0.21%
16 Leonard D.S.	41,203	0.19%
17 Mayakaduwege J. K.	40,959	0.19%
18 Kannangara N.L. and De Livera S.S.	40,000	0.18%
19 Sumathipala U. W. J. P. A.	35,200	0.16%
20 Abdulhussein Y. H.	34,588	0.16%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mr. Mahinda Saranapala Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC